



CREATING VALUE THROUGH TECHNOLOGY AND INNOVATION

Dear Stakeholders,

Our business continues to accelerate, with increasing market adoption of our high-performance thermal solutions fueling a strong performance in 2022. Our Energy Industrial business with value drivers of efficiency, resiliency and safety had an outstanding year. Overall, we delivered record annual revenues of \$180.4 million, an increase of 48 percent year-over-year, and achieved record PyroThin® thermal barrier revenues of \$55.6 million for the year, an increase of nearly 9-times as compared to 2021 revenues. These results represent the continuation of a multi-year strategy to make our business a profitable growth engine. We remain dedicated to delivering a positive cycle of mutual benefit to our customers, suppliers and partners.

Aspen is built on innovation. We are a leader in proprietary engineered materials designed to improve the performance and safety of electric vehicles and energy industrial assets. We are working with a heightened sense of urgency to create lasting value for our stakeholders by helping industries – and society as a whole – solve some of the world’s most pressing technological challenges.

2022 Highlights and Recent Business Developments:

2022 was a transformational year for Aspen. The significant adoption of our PyroThin® thermal barriers in the electric vehicle (EV) market, along with an improving energy infrastructure market, has propelled our company forward in significant ways.

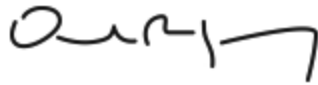
- Grew record consolidated revenue 48% year-over-year to \$180.4 million.
- Generated record PyroThin thermal barrier revenue of \$55.6 million.
- Delivered Energy Industrial revenues of \$124.8 million.
- Positioned to meet targets to double revenue from 2021 to 2023 and triple revenue from 2023 to 2025.
- Received Letter of Intent from luxury brand of important German OEM group where our thermal barrier parts are targeted for a battery platform intended for use across several of their models.
- Received an order for approximately 1.5 million prototype parts for a commercial vehicle brand within the same German OEM group.
- Continued to advance our strategy to leverage our Aerogel Technology Platform™.
- Secured substantial financing to fund our second aerogel manufacturing facility in Statesboro, Georgia (Plant II). In February 2022, Koch Industries made a second investment in Aspen of \$150 million, through the purchase of convertible notes and common stock. In November 2022, we concluded an offering of approximately \$263 million in equity proceeds, which included an additional \$100 million investment from Koch. At the same time, General Motors provided a secured term loan of \$100 million, adding another dimension to our longstanding technical and commercial relationship.
- Received prestigious Overdrive Award as part of General Motors’ 30th Annual Supplier of the Year ceremony. The honor for *Launch Excellence* recognized Aspen’s key role in GM’s thermal management strategy.

- Celebrated groundbreaking of Plant II and the opening of our parts fabrication plant in Mexico. The Aspen teams in Statesboro, Georgia and Apodaca, Mexico have met and exceeded every expectation and are already important parts of the Aspen success story.
- Continued to advance our battery materials initiative including our carbon aerogel technology at the heart of our work within Aspen Battery Materials.

Aspen is setting a new standard for energy efficiency, asset protection, and fire safety in both traditional and new energy sectors, and our commitment to continuous innovation is leading the way to a more sustainable future. We believe in the power of diversity and inclusion at every level of our organization. For the past two decades, sustainability has been linked to the success of our business; and it is a natural fit for us to explore new uses for our Aerogel Technology Platform with the goal of improving the environmental performance and safety of our customers' products and processes. In 2022 we published our inaugural ESG Highlights Report and launched an [ESG webpage](#), which provide a comprehensive overview of our overall ESG strategy. In addition, we were awarded a silver medal by EcoVadis, an independent rating agency that rates suppliers based on their environmental, social and financial performance. These awards are a confirmation of our approach and a motivation to continue with our efforts.

We are positioned to build on our momentum in current markets and to explore new markets that are aligned with our strategy and support continued robust growth. The entire management team and I extend our sincere appreciation for your continued trust, confidence, and support. We remain committed to maintaining the highest ethical standards in our relationships with all our stakeholders, and to exceeding your expectations at every opportunity. I look forward to continuing to collaborate with you in the years ahead.

Sincerely



Donald R. Young
President & Chief Executive Officer

